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How Status Signaling Changed from Showing Off to Belonging

Introduction

Why does a luxury watch that tells time no better than a cheap one cost more than a car? Why do people pay thousands for handbags made from the same materials as cheaper ones? Why do teenagers spend hours obsessing with designer items through social media? These questions have interested scholars for over a hundred years. Understanding why humans attach meaning, identity, and status to expensive objects tells us a lot about human motivation, social comparison, and how people create their personal identity.

The study of luxury and status starts with economist Thorstein Veblen. In his 1899 critique *The Theory of the Leisure Class*, Veblen introduced the idea of “conspicuous consumption.” He argued that wealthy people buy expensive items not for their practical use, but to show off their wealth and social status to others (Veblen 36). The item itself does not really matter. It is more about the idea that those people have so much money they can afford to waste it. However, Veblen’s theory suggests that without an audience, this whole idea falls apart. Many researchers have built off Veblen’s work. Psychologist Vladas Griskevicius and his colleagues applied “costly signaling theory” from biology to consumer behavior. They found that people are more likely to buy eco-friendly products

when others can see their choice and when those products cost more than regular ones (Griskevicius et al. 392). This showed that status signaling is flexible. Instead of just showing off, people now show off that they care about the environment. Psychologist Leon Festinger's social comparison theory also helps to explain this. Festinger argued that people like to measure how good they are at things, and when they cannot measure themselves, they compare themselves to others (Festinger 117). We care about what our peers think, not just what anyone thinks.

More recently, researchers have noticed a shift in luxury consumption. As traditional status symbols become more common and accessible, wealthy consumers turning to "quiet luxury." Logo-free products that only certain people recognize. Cho and Cho found that people buy quiet luxury for reasons like privacy, wanting to be in exclusive groups, appreciating craftsmanship, and wanting to be unique. These motivations work through social connectedness. People buy quiet luxury to strengthen bonds with others in their social circle (Cho and Cho 2-4). This paper explores how status signaling changed from showing off wealth to showing insider knowledge. To explore this, I will look at three things: the rise of quiet luxury brands; the world of luxury watch collectors; and "dupe culture" where people buy cheap copies of luxury items. I will draw on Veblen's theory of conspicuous consumption, Griskevicius's concept of costly signaling, Festinger's social comparison theory, Cho and Cho's work on social connectedness, and Kapferer and Bastien's luxury brand strategy. This paper aims to accomplish two things. First, show how status signaling has changed from showing off wealth to reinforcing belonging. Second,

what dupe culture says about whether status is really about the object or about the story we tell ourselves and others.

The Shift to Quiet Luxury

Most discussion of luxury start with Thorstein Veblen. In *The Theory of the Leisure Class*, Veblen argues that wealthy people buy expensive items to show off their wealth and social status. He calls this “conspicuous consumption.” He also talks about “conspicuous leisure,” showing off by not working. Along with “conspicuous waste,” where value comes from how useless something is. Being wasteful becomes a way to show you are not like people who have to work every day to just get by (Veblen 51). One of Veblen’s most important points is that wealth itself is not enough to earn respect. You have to show it. He writes, “In order to gain and to hold the esteem of men it is not sufficient merely to possess wealth or power. The wealth or power must be put in evidence, for esteem is awarded only on evidence” (Veblen 36). The luxury item is the evidence, but without an audience, the whole idea falls apart.

But what happens when the audience changes? Festinger’s social comparison theory helps answer this. He found that people compare themselves to others who are similar to them, not to people they think are above or below them (Festinger 119). This means status signaling matters most within your own social circle. Research by Han, Nunes, and Drèze supports this. They distinguish between “patrician” consumers who seek signals understood only by other elites and “parvenu” consumers who want broad recognition (Han et al. 6). This distinction predicts that as luxury becomes more accessible, true elites will stop buying visible logos because those logos have become too

known to the masses. Recent Research shows a big shift happening. Cho and Cho argue that wealthy consumers are moving away from big logos and toward “quiet luxury.” High-quality items that most people would not recognize but that people with “taste” can appreciate (Cho and Cho 2). This is happening because luxury has become more accessible. When everyone can buy a luxury product with a big logo, those logos lose meaning, so these wealthy people need new ways to stand out.

Cho and Cho surveyed 425 people who spend over \$20,000 a year on luxury goods. They found five reasons people prefer quiet luxury. The study identifies five reasons people prefer quiet luxury. First, privacy, keeping their spending discreet. Second, elitism, wanting to be a part of something exclusive. Third, connoisseurship, appreciating craftsmanship and quality rather than popular logos/brands. Fourth, need for uniqueness, wanting to stand out. Fifth, self-protection, wanting to avoid jealousy (Cho and Cho 3). The important finding was that social connectedness—feeling close to others in your social circle—links these motivations to buying quiet luxury. People do not just buy quiet luxury to avoid attention; they buy it to feel closer to others who can recognize what they are wearing. The authors explain, “Consumers in exclusive networks prefer inconspicuous goods because these products convey subtle signals that strengthen social bonds through mutual recognition and shared understanding” (Cho and Cho 4). Berger and Ward provide complementary evidence, showing that consumers often prefer products that are distinctive within their social circle, even if those products are not necessarily rare (Berger & Ward). The goal is not absolute scarcity but relative uniqueness among peers.

This challenges Veblen. He thought status had to be visible to everyone, but quiet luxury shows that for some people, status signaling works better when it is invisible to most people and only visible to certain people. The audience has not disappeared; it has just gotten smaller. The goal has shifted from showing you are above other to showing you belong with others.

Belonging Through Obsession

If quiet luxury is about signaling to insider, the world of luxury watch collecting makes this very clear. Online communities like Reddit's r/Rolux and r/Watches, along with many YouTube channels dedicated to watches, show how status signaling works in digital spaces. For collectors, a luxury watch is not just a status symbol. It is something to study and appreciate on a deeper level. This matches Cho and Cho's finding that connoisseurship drives quiet luxury. Collectors care about details that only other enthusiasts notice (Cho and Cho 3). A key link between these motivations and the purchase of quiet luxury is social connectedness, which is defined as feeling close to others in one's social circle. People look for others who are similar to them to validate their interests and knowledge (Festinger 119). In watch forums, members find others who share their specific interest. The community validates their spending and their knowledge. The social aspect is also just as important. When someone posts a picture of a new watch on social media, the comments are often about how great of a choice they made. These interactions build bonds through mutual appreciation. As Cho and Cho explain, subtle luxury signals strengthen social ties within exclusive networks (Cho and Cho 4).

The wait also matters. Many luxury watches have waiting lists that go on for years. Kapferer and Bastien identify this as a deliberate luxury strategy. “The luxury brand is something that has to be earned. The greater the inaccessibility—whether actual or most often virtual—the greater the desire” (Kapferer and Bastien 318). For watch collectors, the wait is not bad, it is part of the experience. It builds excitement and shows others that they were patient enough to earn it. This connects to Griskevicius’s findings about costly signaling. In the watch collecting world, the cost is not just money. It is also the time and effort. Waiting years for a watch shows you have patience, connections, and commitment to the community.

How Luxury Brands Create Desire

Understanding why people buy luxury is only half the picture. We also need to understand how luxury companies design their products and strategies to make people want them. Jean-Noel Kapferer and Vincent Bastien, former CEO of Louis Vuitton, explain the counter-intuitive rules of luxury marketing. Their main argument is that marketing a luxury product is the opposite of marketing a regular product. For normal items, companies try to make them easy to get, affordable, and appealing to as many people as possible. For luxury items, companies make products hard to get, keep prices high, and intentionally excludes people to stay special (Kapferer and Bastien 311). This strategy can be traced back to the way luxury functions within social structures. In democratic societies where fixed social classes have disappeared, luxury recreates social ranking. But it does so “in a democratic manner, meaning that everyone can recreate (up to a certain point) his strata according to his dreams” (Kapferer and Bastien 314). This creates a new kind of anxiety,

where status standards are blurry, putting luxury brands in a position of superiority over its customers. This process is grounded in the way objects shape and reflect social identity.

The editors of the *Handbook of Material Culture* argue that objects are not just tools, they carry social meaning. They write, “Much of material culture studies is concerned with deepening our insight into how persons make things and things make persons” (Tilley et al 2). This means objects do not just reflect who we are, they actually help shape who we are. They design objects that do not just look expensive but actually make consumer feel like they belong to an exclusive group. The object becomes part of the owner’s identity.

Specific rules for luxury marketing, as identified by Kapferer and Bastien, may seem unnatural but are essential to the industry. First, luxury brands should not compare themselves and their products to their competitors. Being unique matters more than it seems. Second, luxury brands should ignore customer demands when they go against the brand’s vision. For example, BMW refuses to add legroom because it would ruin the car’s design. Third, luxury brands should keep distance from customers. Fourth, luxury brands should make it hard to buy. Kapferer and Bastien explain, “The greater the inaccessibility—whether actual or most often virtual—the greater the desire”. Fifth, advertising should build dreams, not sell products, at least at first. A BMW executive says his job is making 18-year-olds dream of BMWs so that when they have money later, they will buy one (317-319).

These strategies show that luxury brands do not just respond to what people want. They tell people what to want and make it hard to get. The *Handbook of Material Culture* helps us see why this works. Objects have the power to shape how we see ourselves and how others see us. When a luxury brand makes something hard to get, getting it becomes a part of

one's identity. The object shows that someone earned it and belongs in that group, rather than just showing wealth.

Faking Status in the Age of Quiet Luxury

If luxury brands exclude people on purpose to make them want things more, what happens when people find a way to avoid the exclusion? This is where “dupe culture” comes in. On TikTok, hashtag #dupe has billions of views, and young people are often seen showing off their dupes. This phenomenon complicates everything we have talked about. If status signaling is about belonging, can you belong by buying a fake?

Research on counterfeit consumption offers some answers. Nia and Zaichkowsky surveyed luxury brand owners and found an interesting split. About 30 percent of respondents owned no counterfeits at all. They believed counterfeit products were inferior and thought owning originals were more prestigious. The other 70 percent had a different view. They found that “all respondents found luxury products fun and worth the price they paid for them, whether they were original or counterfeit” (Nia and Zaichkowsky 491). The study also found that people who owned more fakes had a positive image of them and did not think they were inferior products. 69 percent of respondents said the value, satisfaction, and status of original luxury brands were not decreased by the availability of fakes (Nia and Zaichkowsky 492). In other words, seeing other people with fakes did not make owning the real thing feel less special.

Griskevicius's costly signaling theory helps explain why fakes work in some situation but not others. If a signal is not costly, it does not work as a signal of status. A fake watch does not show you can afford to spend a lot of money. This matters in some cases, but not

others. Among friends who know you cannot afford a real Rolex, wearing a fake might just be a joke rather than a serious status symbol. Festinger's social comparison theory adds another layer. People compare themselves to people who are similar to them (Festinger 119). If your friends are also buying dupes, then your fake bag is not trying show higher status, it is a way of fitting in. Among people who can afford real luxury, a fake is embarrassing. Among people who cannot, a convincing dupe might be impressive.

Dupe culture also complicates the idea of social connectedness. Cho and Cho found that quiet luxury strengthens bonds among insiders (Cho and Cho 4). But when people bond over finding good dupes, they are also building a sense of community, just a different kind. One community is built of access to the real thing, while the other is built on how to fake it. Recent work by Ghiglinio and Langtry on status substitution helps explain why both authentic and dupe communities can coexist. They argue that consumers derive utility from two related but very different sources. "Directly from consuming status goods themselves" and from "belonging to an identity group with high status good consumption" (2). Importantly, these two sources of utility are substitutes, meaning that when belonging to a group where high status consumption is satisfying, the need for personal status display decreases, and vice versa (3). This framework explains why dupe culture thrives. For consumers who cannot access authentic luxury, belonging to a community of "dupe" consumers provides the social identity that would otherwise require expensive purchases. The group itself becomes the source of status, not the objects. This reveals something important about status signaling. Maybe the object itself matters less than the story it tells. Whether you saved for years to buy a real Rolex or spent time researching the best dupe,

both take effort. Both can be shared with others who appreciate the same things. As Ghiglino and Langtry note, an agent's status good consumption "increases linearly in her own centrality" within a social network, but also "decreases in the average centrality of her own identity group" (Ghiglino & Langtry 3). Belonging to a group where everyone has high status consumption can actually reduce individual pressure to display status, explaining why both wealthy collectors and dupe communities find satisfaction in shared identity rather than individual identity.

Conclusion

This paper has argued that status signaling has shifted from conspicuous display aimed at a broad audience to subtle signaling aimed at insiders, with the goal of reinforcing belonging rather than displaying wealth. The rise of quiet luxury, the obsessive culture of watch collecting, and the phenomenon of dupe culture all point to a single conclusion. Status is not primarily about the object itself, but about the social relationships the object helps facilitate.

A few key findings really stand out. First, the audience for status signaling has not disappeared, but has become more selective. Veblen assumed that everyone was the same and thought the same, but modern status signaling often targets smaller groups of people who share niche knowledge. Second, the cost of signaling has moved beyond just price. In watch collecting, the cost included time, patience, and commitment to a community. In dupe culture, the cost includes the research effort and the willingness to participate in the shared practice of working around the luxury products system. Third, luxury brands actively engineer these dynamics. They do not simply respond to consumer

desires. They manufacture scarcity, create distance, and build dreams in minds before a purchase is even possible.

If these findings hold, then several new questions emerge. Does the shift toward quiet luxury simply replace one form of exclusion with another? For example, recognizing a logo-free Loro Piana loafer still requires specific knowledge that is not necessarily evenly distributed amongst everyone. Is quiet luxury genuinely more about belonging, or is it just a more sophisticated way of showing off? Further, what does dupe culture suggest about the future of luxury consumption? If younger consumers continue to bond over finding clever alternative to real products, will this destroy the scarcity on which luxury products depend on? Or does dupe culture reinforce the status of the real product? Because status signaling appears to be fundamentally about social relationships rather than objects, the existence of dupes might not threaten luxury at all. As long as some consumers can access the authentic object and others cannot, the signal retains its value. Rather than a replacement for the original, the dupe serves as a placeholder, an acknowledgment of a desire that remains out of reach.

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